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RESEARCH REPORT

Prepared by the
RESEARCH AND INFORMATION SERVICE
of the
AMERICAN FEDERATION OF LABOR
Washington 1, D. C.

Wm. Green, President George Meany, Secty-Treas.

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LABOR LAW

Taft-Hartley Act:

I. EMPLOYER FINANCED UNION HEALTH AND WELFARE FUNDS

Section 302 of the Taft-Hartley Act places several unnecessary, but not seriously crippling, restrictions on payments by employers to union welfare funds.

Time Table:

Welfare funds established prior to the enactment of this Act need not be brought into compliance until termination of present contract, or July 1, 1948, whichever occurs earlier. (Sec. 302 f)

Welfare funds established prior to January 1, 1946, are not affected by any provision of this section. (Sec. 302 g)

Any fund that provided for pooled vacation benefits would be illegal after July 1 or the end of the present contract, whichever occurs earlier, except those which were entered into prior to January 1, 1947. (Sec. 302 g)

Welfare plans paid for and administered by either management alone or labor alone, are not affected. It is only when management pays money to the union for such purposes that this section applies.

Restrictions:

The company can no longer agree to pay any money to the union welfare fund (if entered into after January 1, 1946) unless a written agreement is made with the employer detailing how such welfare payments are to be made, and providing equal representation of management and labor in the administration of such fund, with provision for neutral parties or umpire to settle disputes. If neutral parties or an umpire can not be agreed upon, the United States district court shall name the umpire. The agreement must provide for an annual audit and public posting of results.

The usual welfare benefits are still permitted with the exception of pooled vacation benefits (if established after January 1, 1947). However, pension funds must be kept in separate trust and used only for pensions or annuities.

Penalties:

Violation of any of these provisions is subject to prosecution as misdemeanor, and subject to $10,000 fine and/or a year in prison. This section of the Act is not under the jurisdiction of the N.L.R.B. Action is taken directly to United States district court.

Adjusting Plans to Taft-Hartley Requirements:

In the first place, joint responsibility for handling funds of this nature is not necessarily a handicap. Some unions prefer such arrangements since accusations of misuse of funds can not be made against the union officials by dissident members.

In the second place, joint representation on the trust fund **does not mean joint representation in detailed administration of the welfare program or in the purchase of insurance covering members.**

This is very significant because in many states there is no enabling legislation that will permit a trust fund to purchase insurance policies. There is nothing in the Taft-Hartley Act that prohibits the trust fund from authorizing the remittance of money from the trust fund directly to the union, which in turn will have sole responsibility for purchasing the insurance and handling all claims and disputes with the insurance company directly.

Some unions have set up their own direct service health centers and cash benefit plans without any outside insurance or benefit agencies involved at all. The administration of these direct service plans can still remain exclusively in the hands of the union so long as money received from employers is first turned over to the jointly administered trust fund, which in turn authorizes remittance of funds to the union welfare department or health center.

It is probably safe to assume that the trust fund could not turn over unquestioned amounts of money to the union. The payments should be made to the union welfare department or health center on the basis of detailed agreements and with provision for detailed auditor's report to the trust fund.

II. UNION AUTHORIZATION ELECTIONS IN SEASONAL INDUSTRIES

Unions in seasonal food packing industries should watch carefully for the results of two union shop authorization cases presented by the Teamsters for two citrus packing plants. (Cases: McKeon Canning Co., Inc. No. 21-UA-48 and Winckler & Smith Citrus Cos. No. 21-UA-143).

Under this Act, seasonal industries employing large groups of transient workers are in a bad enough situation just with simple representation elections. If the N.L.R.B. abides by past precedent and holds elections at or near the peak employment period, the exclusion from the unit of temporary supervisors and the necessity of showing 30% representation will be difficult problems.

Now the N.L.R.B. is faced with making the decision as to when **union shop authorization** elections can be held . . . in the peak . . . or in the slack period, when only a small percentage of year-round employees are employed. They are struggling with the question of whether a union shop authorization election held in the slack period could apply to seasonal employees hired in peak, or whether the election would have to be held at the peak if so applied.

Even if the N.L.R.B. could solve the above questions,

the union is still likely to be seriously weakened or wrecked by the provision in the Act that prohibits requiring employees to join the union until the 30th day after being employed. The casual seasonal employee could work for a couple of weeks in one plant, be laid off, go to another plant for three weeks, be laid off, and so on through the season, and never join the union even if every plant had the union shop.

Another problem: It is typical for year-round employees to work as production employees in slack season and as supervisors in peak. If union shop election were held in the peak season, could these temporary supervisors vote? Could they be required to belong to the union in slack season when performing production work?

If the food packing industry were like the building trades with employers joined in associations and dealing with the same unions, it might be possible to work out a program similar to that planned for the building trades union shop elections. However, in the food packing industry, there is no such uniform contractual arrangement. Different unions have contracts with adjacent plants, many employers do not deal through associations, and many plants are unorganized. Area-wide elections in many cases would be impracticable. The labor force is often casual or transient. How the N.L.R.B. will answer these fundamental questions, we do not know. The Act is just not adaptable to seasonal industries.

Until such time as the N.L.R.B. hands down a decision, we can only suggest the following union security clauses to be applied after a union shop election of same sort is held:

(The following clauses and action taken thereunder are subject to unfair labor practice charges only. If you were found guilty, you would be subject to a cease and desist order and possibly back pay and dues at most.)

1. "Any former employee of any employer (in the industry) under contract to the union shall have seniority preference in hiring. The employer shall ascertain from the union the availability of former employees before hiring new employees."
2. "Any employee who at any time during the last 18 mos., but previous to 30 days, worked for any employer under contract to the union, shall be considered as in employment for 30 days, and required to become and remain a member of the union as a condition of employment." (This would include any returning employees from the year before.)
3. "Each months dues as well as initiation fees to be paid in advance."

This is a highly imperfect solution, since casual new employees who work for less than a month in a plant under your contract could not be compelled to join the union, but the preferential hiring on a seniority basis may make it easier to persuade new employees to join immediately.

4. "Any supervisor who at any time during the past 18 mos., and previous to 30 days, has worked for any employer in the industry under contract to the union shall become and remain a member during such periods as he performs production non-supervisory duties." (In other words, if a man spends 4 mos. of the year as a supervisor, the employer can compel him to drop union membership during that time, but the union can require him to carry active membership during the other 8 mos. he works on production.)

III. WHO MUST FILE

Many questions have been addressed to the A. F. of L. concerning who must file non-communist affidavits and information with the Department of Labor.

There is a simple test: ONLY THE UNION AND ITS PARENT BODY (if any) WHICH SEEKS TO MAKE USE OF N.L.R.B. SERVICES MUST BE IN COMPLIANCE WITH THE FILING REQUIREMENTS.

Application of Test: In order for any of the following organizations to appear on an N.L.R.B. ballot or have unfair labor practice charges or election petitions processed, compliance requirements would be as shown.

A. **Independent local union:** Only local need be in compliance with filing requirements.
B. **Local affiliated with National Union or with A. F. of L.:** Both local and national parent organization.
C. **National Union only brings all petitions and charges:** Only the national union. Unnecessary for local.
D. **Local council of unions:**
   1. If **local unions** sign jointly or separately petitions or charges, signing locals and their parent bodies must be in compliance.
   2. If **council only** signs petitions or charges, then council alone must comply. However, if council is affiliated to parent council, **parent** must also be in compliance.
   3. If **national council only** signs petitions or charges, local unions and local council need not be in compliance.

IV. RIGHTS OF NON-COMPLYING UNIONS

A. A non-filing union's name will not appear on the ballot in regular representation elections, nor can it have petitions for elections or charges of unfair labor practices processed by N.L.R.B.
B. Decertification election: A non-complying union which is the currently recognized bargaining representative will have its name on ballot, but in case it wins the election, N.L.R.B. will post results only and not certify union. (Harris Foundry and Machine Co. Case No. 10-RD-8)
C. Non-complying unions may intervene in formal hearings and there present evidence to the Board, if they have a current contract with employer involved. However, except as noted in B, non-complying union may not appear on ballot. (American Chain and Cable Co. N.L.R.B. Case No. 4-R-2752)
D. Circumventing compliance:
   Non-complying unions may circumvent law by having individual employees file charges of unfair labor practices.
   Non-complying unions with complying internationals may let international handle all petitions and charges.
   Non-complying unions may operate through local complying council which would file petitions and charges.

APPLICATION OF THE CITY WORKER'S FAMILY BUDGET IN COLLECTIVE BARGAINING

The "City Worker's Family Budget," prepared by the Bureau of Labor Statistics, has been reprinted with the addition of several explanatory chapters in the February issue of the Monthly Labor Review, obtainable from Government Printing Office, Washington, D. C., for $ .40.

The usual anti-labor sources are making the usual attacks against this Budget. Primarily, their arguments are that the average worker does not support a family of four, and that the Budget is too high in terms of productivity of the society . . . therefore, to provide every family with such an income is impossible. They cloak their arguments with lengthy pseudo-scientific explanations and misuse of otherwise valid statistics.

You may be able to use these arguments based upon official U. S. Govt. statistics:

A. **BUDGET LEVEL:** Some labor representatives have complained that the "City Worker's Family budget" is too low. The Budget ranged in June, 1947, from $3,004 to $3,458 for the 34 cities priced. Many consumption items (for example meat) are below the average per capita consumption.

The fact that the Budget is low is actually to your **advantage.** If the Budget had been a lush ideal, it would be immediately discredited as a pipe dream and not a fit subject to discuss in negotiations. You can point to how little this Budget will buy, and demonstrate that in June, 1947, a man couldn't support even that standard in the **cheapest** city in the United States, unless he made more than $1.50 per hour with year-round employment. Since that time, consumers price index has gone up 7.4% by January, 1948, making even higher wages necessary.

How realistic is the Budget? Comparisons to National Income figures and family income figures show the following:

1. National Income compared to Budget: Income produced per employed person exceeds Budget by $158.00

National Income, yearly rate, last 3 mo. '48	$212.3	billions
Employed labor force including military, Jan. '47	58.4	millions
By dividing National Income by employment it is shown that each employed person produces AVERAGE INCOME of	$3635.00	
Average (median) cost of Budget June '47, $3237.00, and when adjusted by increase in consumers price index (7.4%) to Jan. '48 BUDGET COST	$3477.00	
Amount that average income per employed person exceeds Budget	$158.00	

This average income is a low estimate for city families since National Income figures include both urban and farm income, but no non-money income to farmers in form of home-grown food, etc., is shown. If inclusion of non-money income were possible, or separation of city income were possible, a much higher figure would be shown. Employment figures also include part-time causual workers, so true income generated by full-time persons is not known. Even so, the Budget is $158.00 lower than the average income generated by each employed person.

2. Per Capita Income: Budget calls for $592.00 less per capita income than actual U. S. per capita income.

Population Jan. 1, 1948	145.34	million
National Income year rate, 4th quarter, '47	$ 212.3	billion
PER CAPITA INCOME (National Income divided by population)	$1461.00	
Per capita income of BUDGET (Budget divided by 4)	$ 869.00	
Actual per capita income exceeds Budget per capita income by	$ 592.00	

3. Actual Family Income Compared to Budget: Urban 4 person family actually received average income of $3409.00.

The latest census figures available on urban family money income are for 1946. Since then, National Income has increased 19%, and we can assume therefore that family income has risen considerably. Even using 1946 Census figures, it is demonstrated that the B.L.S. budget income for June, 1947, was a lower than the income that the 4-person family actually enjoyed in 1946.

Census: Income of urban family of 4, 1946	$3,409.00
BLS Budget: Income of urban family of 4, June, '47	3,237.00

4. Family size and the number of workers in family: Employers will argue that their Internal Revenue withholding statements demonstrate clearly that their average worker doesn't support a family of four. There are several answers to that:

a. Withholding statements are no indication of true dependence. You could have a dependent mother or offspring, but if his or her income was $501.00 per year, you couldn't show as dependent on tax statement.
b. The fact that more than one member of family must work is not a valid argument against raising wages for the head. On the contrary, it is because the head of the family's wages are too low that his wife or child must work.
c. Employers will argue and statistics will bear them out that the type family shown in BLS budget is not typical . . . that less than 10% have male heads supporting 3 dependents. This is a ridiculous argument. Actually, the exact family with a boy 13 and a girl 8 probably accounts for a tiny fraction of one percent of total families. The concept of the budget is this. It is **normal,** not typical. In the normal growth of a family it will pass through a stage roughly approximating this BLS family. Obviously, it is smaller to begin with, may be large in one stage, and then tapers off in later stages of family cycle. The argument for unions to use is that if the population is to reproduce itself, each couple would have to produce at least (actually more) two children. The American standard of living certainly should allow a sufficient income for the head of the family to support his or her family without the children or other dependents working.
d. The clinching argument to any of the attacks on paying all workers according to the assumption that they support 3 dependents is to ask the employers if they are prepared to start paying a dependency bonus or allowance. So long as a worker's wage rate depends on the job, not his dependents, the rates for all qualified workers should be sufficient to support a family.

B. APPLYING THIS BUDGET IN NEGOTIATIONS:

It isn't necessary to assume that every beginning apprentice should receive the budget income as a minimum. You might prefer to use the budget as a measuring rod in setting average rates, or rates of fully qualified journeymen, etc.

This budget is useful in emphasizing what it **"costs to live"** rather than tying wages to increases in Consumers Price Index. Your wages might have increased as much as prices have increased and still be insufficient to pay the **costs of a decent standard of living.**

C. TO BRING CITY WORKER'S FAMILY BUDGET UP-TO-DATE:

The only way to accurately bring the budget up-to-date is by repricing it for each city. The BLS has no funds to do this. To get a **rough** indication of the increase in the budget for any one of the 34 cities, increase the June, 1947 budget by the percentage increase in the BLS Consumers Price Index for that city. (You can't use the National Index. Write BLS or AFL Headquarters for Consumers Price Index increases by city.)

RECOMMENDED READING

GOVERNMENT PUBLICATIONS:

1. "Twelfth Annual Report for the N. L. R. B. for Fiscal Year Ending June 30, 1947" by N. L. R. B.
   Obtain for $.40 prepaid from:
   Superintendent of Documents
   U. S. Government Printing Office
   Washington 25, D. C.
2. "Legislative Report, March 1st Supplement on Legislative Restrictions on Union Security Agreements" (Analysis and full text of **State** legislation restricting union security clauses in all 18 states where such legislation exists.)
   Obtain free from:
   W. L. Connolly, Director
   Bureau of Labor Standards
   U. S. Department of Labor
   Washington, D. C.
3. "City Workers Family Budget." (The Budget released in December is reprinted in February Monthly Labor Review along with detailed explanations and historical background.
   Obtain "Monthly Labor Review" for $.40 prepaid from:
   Superintendent of Documents
   U. S. Government Printing Office
   Washington 25, D. C.

PRIVATE AND UNION PUBLICATIONS:

1. "A Trade Union Analysis of Time Study" by William Gomberg, Director of Management Engineering Dept., ILGWU, A. F. of L. (Extremely valuable since analyses problems of time study from trade union standpoint.)
   Obtain for $4.25 from book shop or:
   Science Research Associates
   228 S. Wabash Avenue
   Chicago 4, Illinois
2. "Survey of Labor Economics" by Florence Peterson, formerly Chief of Industrial Relations Branch, U. S. Bureau of Labor Statistics. (Written as a college text book. However, book is exceptionally easy to read. Explains clearly types and significance of all economic statistics bearing upon labor, various economic theories applied to wages, and legal developments up to but not including the Taft-Hartley Act.)
   Obtain for $4.00 from book shop or:
   Harper and Brothers
   49 East 33rd Street
   New York 16, New York

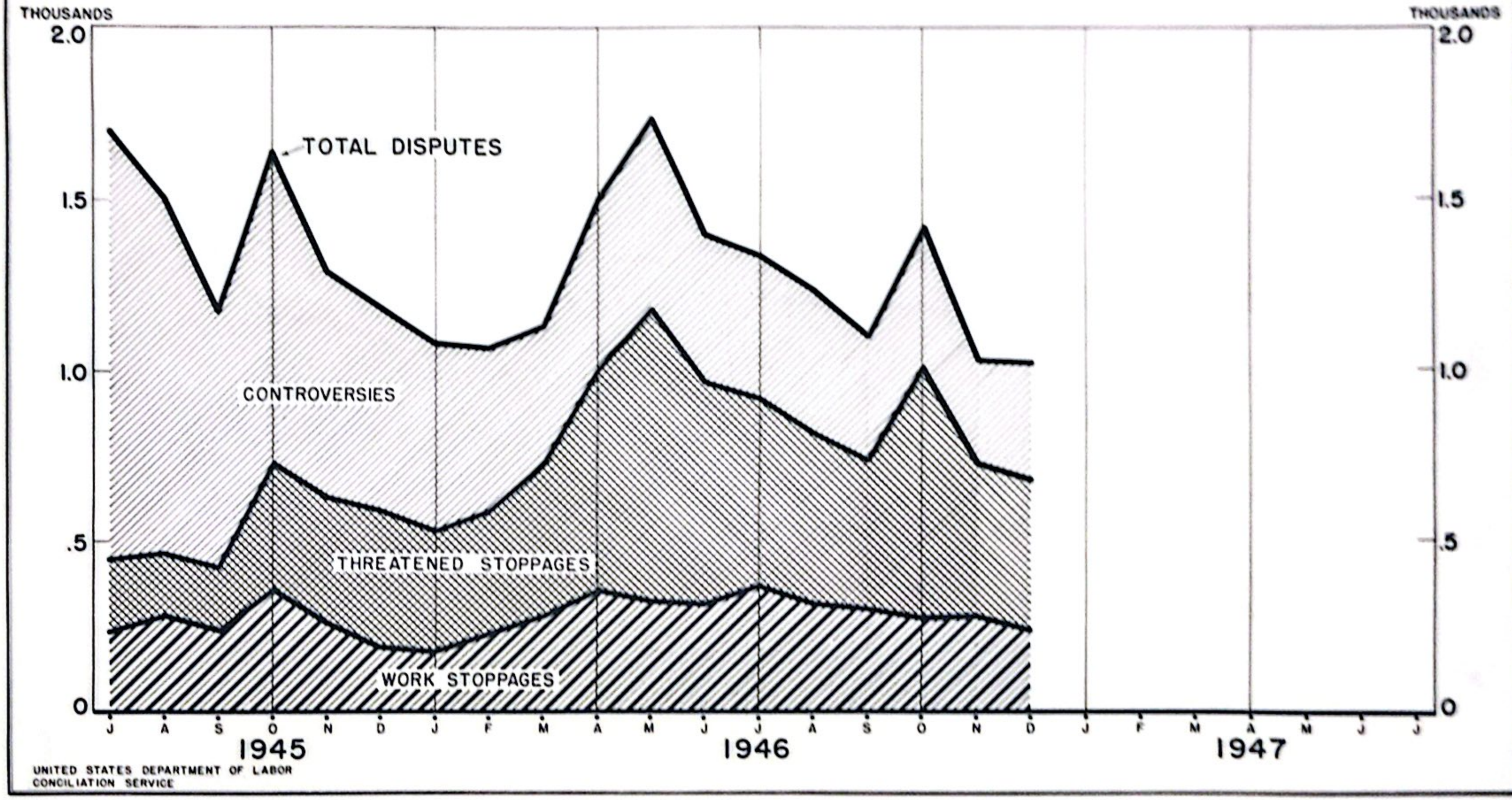
BASIC ECONOMIC STATISTICS

		1948	1947	1946	1945	1941
PRICES *		Jan.	(Dec. | Nov.)	Dec.	Aug. VJ	Jan.
Consumers' Price Index—All Items	1935-39=100	168.8	167.0	164.9	153.3	129.3	100.8
All Foods	"	209.7	206.9	202.7	185.9	140.9	97.6
Clothing	"	192.1	191.2	190.2	176.5	146.4	101.2
Rent	"	115.9	115.4	115.2	108.8 (1)	108.3 (2)	105.0
Fuel, Elec. and Ice	"	129.5	127.8	126.9	115.5	111.4	100.8
Housefurnishings	"	192.3	191.4	188.9	177.1	146.0	100.2
Miscellaneous	"	146.4	144.4	143.0	136.1	124.5	101.8
Wholesale Price Index—All Items (3)	1926=100	165.6	163.2	159.7	110.9	105.7	80.8
HOURS AND EARNINGS: * (4)							
Average Weekly Earnings:							
Manufacturing	Dollars	52.27	52.74	51.35	46.96	41.72	26.64
Bituminous Coal Mining	"		75.22	71.93	69.56	49.90	26.00
Retail Trade	"		37.36	36.90	33.73	29.01	21.53
Building Construction (private)	"		67.50	64.55	59.92	55.79	32.18
Average Weekly Hours:							
Manufacturing	Hours	40.6	41.2	40.5	40.9	40.7	39.0
Bituminous Coal Mining	"		41.2	38.6	46.7	40.1	39.7
Retail Trade	"		39.7	39.5	40.3	41.2	42.9
Building Construction (private)	"		38.0	36.6	38.8	40.3	32.6
Average Hourly Earnings							
Manufacturing:							
Gross Hourly Earnings	Dollars	1.289	1.279	1.269	1.146	1.024	.683
Straight Time Hourly Earnings (5)	"		1.229	1.226	1.107	.944 (2)	66.4
Bituminous Coal Mining	"		1.826	1.847	1.491	1.249	.885
Retail Trade	"		1.016	1.025	.919	.773	.549
Building Construction (private)	"		1.777	1.765	1.545	1.383	.986
WORK STOPPAGES: *							
Number of man days idle in month	Thousands	1,000	500	700	3,130	1,710	863
Man days idle as % of available Working Time	%	.1	.1	.1	.46	.2	.1
EMPLOYMENT AND UNEMPLOYMENT: **							
Civilian Labor Force: Total:	Thousands	59,214	59,590	60,216	58,430	54,460	53,990
Male	"	42,846	42,892	43,148	41,990	35,130	40,830
Female	"	16,368	16,698	17,068	16,440	19,330	13,160
Employed (both sexes)	"	57,149	57,947	58,595	56,310	53,630	46,580
Unemployed " "	"	2,065	1,643	1,621	2,120	830	7,410

* Bureau of Labor Statistics.
** Census Bureau.
(1) Not available; Figure shown for January, 1947.
(2) Not available; Figure shown for September, 1945.
(3) Wholesale Price Index data subject to revision for two (2) months after first publication.
(4) Hours and Earnings data subject to revision for three (3) months after first publication.
(5) BLS definition "Estimated Edjusted Hourly Earnings, exclusive of overtime, of production workers . . . Overtime is defined as work in excess of 40 hours per week and paid for at time and half."
Fixed Weights: Jan. 1941 man hours.

DISPUTE CASES CLOSED BY U. S. CONCILIATION SERVICE

CLASSIFIED BY TYPE OF CASE

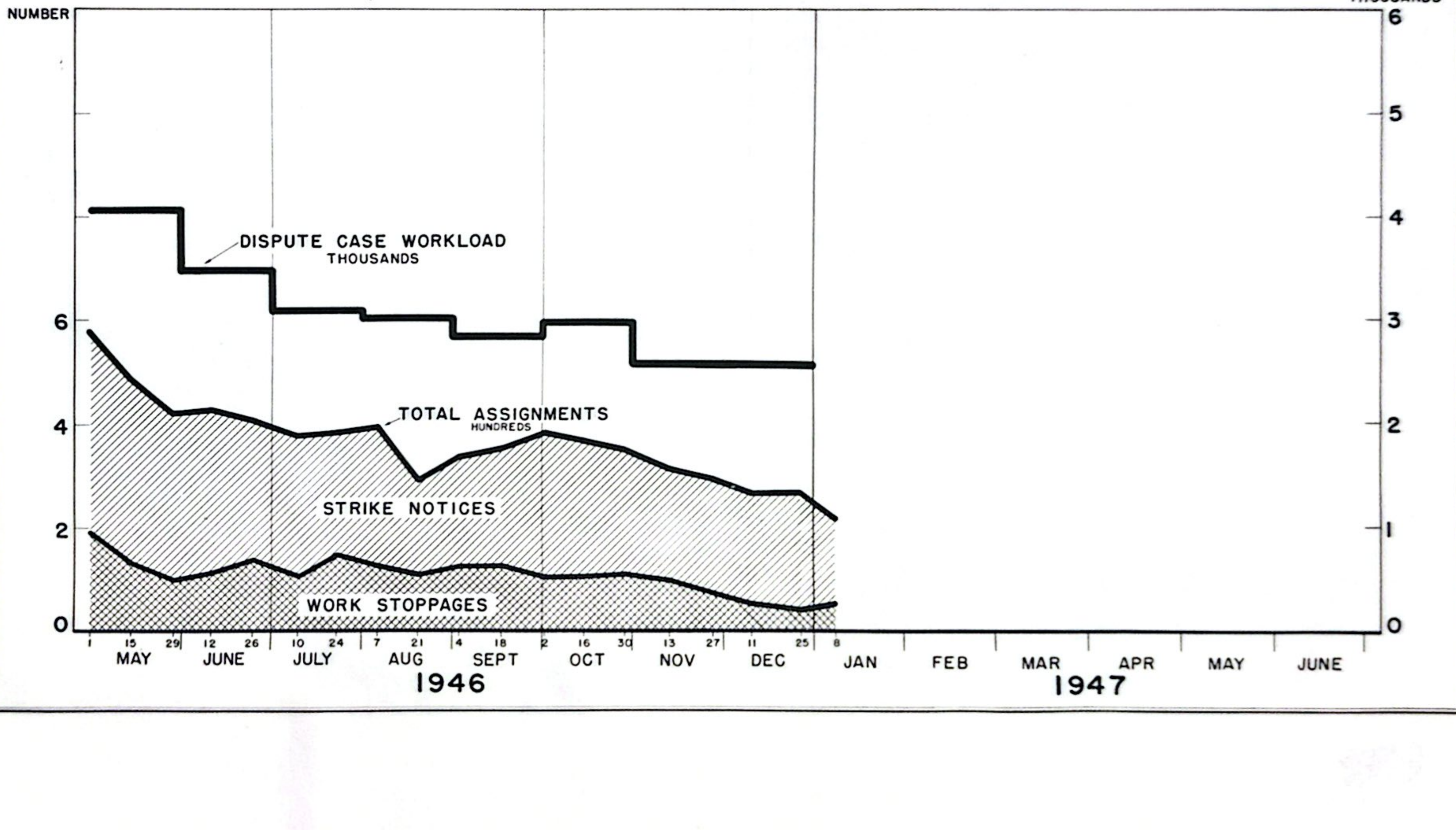


UNITED STATES DEPARTMENT OF LABOR
CONCILIATION SERVICE

ASSIGNMENTS TO WORK STOPPAGES AND THREATENED STOPPAGES (STRIKE NOTICES)

BY TWO-WEEK PERIODS

U. S. CONCILIATION SERVICE



THE TRUTH ABOUT THE TAFT-HARTLEY LAW AND ITS CONSEQUENCES TO THE LABOR MOVEMENT

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International Association of Machinists

FOUNDED IN THE CITY OF ATLANTA, GA., MAY 9, 1888

NINTH STREET AND NEW YORK AVENUE N. W.
WASHINGTON, D. C.

OFFICE OF THE
GENERAL SECRETARY-TREASURER

Washington, D. C., April, 1948

To the Membership of The International Association of Machinists -

Greetings:

Ever since the passage of the Taft-Hartley Law members of labor unions throughout the length and breadth of this country have been subjected to a constant barrage of propaganda favorable to the Act. Senators, congressmen, employers, editors, columnists, and commentators have burst forth, in print and on the air, in praise of the law. Similar propaganda - some of it sponsored by the National Association of Manufacturers - is also being widely distributed to employed men and women at their places of work in industry.

Concentrating their attention on selected individual features of the Taft-Hartley Law, the self-styled friends and advisors to labor have tried in a cunning and subtle way to convince the average union member that the sole purpose of the Act is to protect him from power-drunk labor officials. Never in the history of my long experience in organized labor have the elements opposed to labor unions ever attempted to mislead the workers and all the plain people of our country on such an extensive and well-organized scale.

In order to get at the facts, the IAM has prepared the following statement which attempts to present the real meaning of the new labor law to organized labor both with respect to the Act itself and to the propaganda of those who are so eagerly trying to defend it.

In view of the great importance of this matter to members of organized labor and all workers, it is essential that this information be conveyed to the greatest number in the shortest possible period of time. I, therefore, request that you pass this on to your fellow workers or neighbor as soon as you have finished with it. Additional copies of this statement may be obtained from the International Association of Machinists, Machinists Building, Washington 1, D. C.

Fraternally yours,

H. W. Brown.

H. W. Brown
INTERNATIONAL PRESIDENT

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